

Norway discovered oil in 1969.¹⁰ It experienced many symptoms of the Dutch disease in the 1970s and 1980s. When oil prices fell in the mid-1980s, the economy entered a period of prolonged subdued growth. To facilitate a more sustainable fiscal policy and diversify the nation's assets away from oil, it created a SWF in 1990, which was originally called the Oil Fund. The government changed the fund's name in 2006 to the Government Pension Fund—Global (want to bet it was named by a committee?), even though it has nothing directly to do with pensions. By placing money into the fund, the government shields the economy from fluctuating oil prices, and the country can sustainably increase consumption as resources are depleted.

Timor-Leste created its SWF so that its new riches would not overwhelm its small economy and wipe out everything not related to oil and gas. In winning the petroleum jackpot on its doorstep, would Timor-Leste go the way of Nigeria, or could it cure the Dutch disease and find a brighter future?

Timor-Leste got plenty of advice from the Norwegians and other international experts; Tørres Trovik (thank you Tørres for introducing me to the Norwegian SWF) serves on the advisory board of the Petroleum Fund.¹¹ Timor-Leste faces more challenges than just the Dutch disease: in many poor countries, serendipitous wealth from oil tends to go poof! and disappear into politicians' (and many others') pockets. The Peterson Institute for International Economics, a research group based in Washington DC, ranks Timor-Leste's SWF the third best based on structure, governance, transparency, and accountability.¹² Only Norway and New Zealand rank higher.

2.4. INTEGRATION INTO GOVERNMENT POLICY

Timor-Leste has used its SWF as part of an overall policy of economic development, like Botswana, Chile, Korea, and others. The Petroleum Fund Law defines the *estimated sustainable income* (ESI) as 3% of Timor-Leste's total petroleum wealth, which is defined as the current Petroleum Fund's assets plus the net present value of future petroleum receipts. That is, the ESI is 3% of total petroleum wealth—financial wealth in the fund plus oil and gas wealth still to be pumped from the reserves. Given the paucity of other industries in Timor-Leste, total petroleum wealth is essentially the entire worth of Timor-Leste. The ESI serves to guide government spending from the oil wealth, but it is a flexible rule.

¹⁰ For more details, see "The Norwegian Government Pension Fund: The Divestiture of Wal-Mart Stores Inc.," Columbia CaseWorks, ID#080301.

¹¹ The IMF has recommended resource-rich countries put windfalls into SWFs since 2000. See Davis et al. (2001).

¹² See Truman (2010).